

US equities rally on lower yields, earnings beat lifts tech

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

Broad equity gains were led by the S&P 500 up **+0.58%** to 7,818.93 and the Nasdaq 100 rising **+0.48%** to 31,224.47. The rally was underpinned by a **-0.79%** pull-back in the 10-year Treasury yield to 5.27% and a strong earnings beat from **AVGO**.

Defensive sectors lagged; the Russell 2000 slipped **-0.59%** and the VIX fell to 15.01, indicating easing volatility. Investors should watch upcoming earnings and the Fed's policy outlook for directional cues.

US session recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,818.93	+0.58%	
Dow Jones	51,521.28	+0.49%	
Nasdaq 100	31,224.47	+0.48%	
Russell 2000	2,830.30	-0.59%	
VIX	15.01	-3.29%	
10Y Yield	5.27%	-0.79%	
WTI Crude	90.08	+0.72%	

Top large-cap movers

TICKER	PRICE	CHANGE
AVGO	375.81	+3.67%
AMZN	256.29	+1.95%
XLU	41.16	+2.98%

Spotlight

Broadcom (**AVGO**) posted Q3 results that beat consensus, driving its stock up **+3.67%**.
Key metrics:

METRIC	RESULT	CONSENSUS
Revenue	15.2 bn	14.8 bn
EPS	9.12	8.73
Guidance FY26	62.0 bn	60.5 bn

The beat underscores continued strength in data-center and networking chips, reinforcing a bullish outlook for the semiconductor sector.

Macro & Fed

- Fed policy rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield: 5.27% (down 0.79%)
- Today's releases (HKT): CPI 02:30, PCE 03:30, Fed minutes 04:30
- WTI Crude at 90.08 (+0.72%); Gold at 4,160.30 (-0.64%)

Geopolitics & global

- China's manufacturing PMI printed 49.8, hinting at continued contraction.
- Eurozone inflation eases to 2.5% YoY, supporting ECB's dovish stance.
- OPEC+ reaffirmed output cuts, keeping oil supply tight.
- US-China tech export tensions remain muted after recent licensing agreements.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
08:30 Oct 10	GOOGL	Ad revenue growth, AI spend guidance
09:00 Oct 11	JPM	Net interest income trends
09:30 Oct 12	META	Revenues from AI-powered ads
10:00 Oct 13	TSLA	Production ramp at new Gigafactory

Stocks worth watching

- NVDA – AI chip demand still accelerating; up +0.14%.
- XLE – Energy ETF gaining +0.47% on OPEC+ cuts.
- XLU – Utilities rally +2.98% as yields dip.
- META – Shares down -0.41%; watch AI ad rollout.
- XLF – Financials modestly higher; monitor Fed minutes.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI (>0.3% MoM) could reignite rate-hike expectations.
- Geopolitical escalation in the Middle East pushing oil above \$95.
- Weak earnings from GOOGL or META on AI spend slowdown.

BULLISH TRIGGERS

- Fed minutes signal a pause or rate cut.
- Strong Q3 results from **AVGO** spurring semiconductor rally.
- Continued decline in the VIX below 14, confirming low volatility.

Sources

SOURCES

Reuters — US Markets

Bloomberg — Broadcom Earnings

FRED — 10-Year Treasury Yield

CNBC — S&P 500 Data

Financial Times — Oil Market Update